Business - Graduate Level Assessment 2 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Compare the costs of a $5,000 20-year endowment policy with a $5,000 20-year limited payment policy if each were to be purchased at age 45.

   (a) $182.45
   (b) $125.75
   (c) $233.35
   (d) $300.20
   (e) $160.65

2. Mr. Burke purchased three 5(1/4)% bonds with par values of $1,000 each, and interest paid semiannually. How much interest will he receive?

   (a) $131.25
   (b) $52.50
   (c) $31.88
   (d) $78.75
   (e) $125

3. Which of the following are aimed at providing customers with the peace of mind of knowing that the company they are purchasing from is competitive in price?

   (a) Price comparison tools.
   (b) Price negotiation strategies.
   (c) Price competitiveness.
   (d) Price discrimination.
   (e) Price adjustment policies.

4. Mr. Jackson has borrowed $150 from his bank. The loan must be paid in 90 days and has an interest rate of 6%. Find the amount due at the end of the 90 days.

   (a) $150.90
   (b) $161.25
   (c) $155
   (d) $148.75
   (e) $160

5. Once referred to as a multibrand policy, this branding strategy requires that each product offered by an organization is branded independently of all the others. This is known as:

(a) Multi-product branding.
(b) Sub-branding.
(c) Mixed branding.
(d) Family branding.
(e) Corporate brands.

True / False (10 marks)

Answer True or False

6. True or False: The list price of the dinette tables is \$175.20, resulting in a net price of \$153.30 aft
7. True or False: The 7(1/2) ounce can of tuna fish is the better buy, offering a lower cost per ounce
8. True or False: Weather conditions are commonly regarded as one of the six dimensions of the ex
9. True or False: The cost per thousand for a single ad in Punk Magazine, with a circulation of 2,000
10. True or False: The present value of three end-of-year payments of \$1000 each at a 7% return is

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of present value in finance. Calculate the present value of a cash flow of \$100 to be received in 5 years with a discount rate of 5%, and analyze the implications of your findings.
12. Calculate the premium for a \$60,000 insurance policy at a rate of \$0.2065 per \$100, and discuss the insurance company's payout for a \$61,000 loss, including your rationale.

End of Paper